

Acme Corp - Paid Time Off & Leave Policy

Document 01 | People Operations | Effective January 2025

1. Purpose

This policy describes how paid time off (PTO), sick leave, and other leave is earned and used by Acme Corp employees. It applies to all regular full-time and part-time employees in the United States.

2. Annual PTO Allowance

Full-time employees accrue 15 days of paid time off (PTO) per calendar year. PTO accrues on a monthly basis at a rate of 1.25 days per month of completed service. Part-time employees who work at least 20 hours per week accrue PTO on a prorated basis according to their scheduled hours.

After five years of continuous service, the annual PTO allowance for full-time employees increases from 15 days to 20 days per year.

3. PTO Accrual for New Hires

New hires begin accruing PTO after completing the 90-day probation (introductory) period. No PTO is accrued during the first 90 days of employment. Once the probation period is complete, accrual is applied retroactively to the employee's start date, so no earned time is lost.

4. Carryover

Employees may carry over a maximum of 5 unused PTO days into the following calendar year. Any balance above 5 days that is unused as of December 31 is forfeited and is not paid out.

5. Requesting PTO

PTO requests should be submitted through the HR portal at least two weeks in advance and require manager approval. Approval is based on business needs and team coverage.

6. Sick Leave

Sick leave is separate from PTO. Full-time employees receive 7 paid sick days per year, which do not carry over and are not paid out on separation.